

[Table 11-4](#) puts the entire stacking process into perspective. It is an example of layering risks to derive the expected long-term return for an asset class. The expected risk premiums in this chapter are the author's own estimates, which may or may not agree with other sources.

Both real and total expected returns are shown in [Table 11-4](#) to highlight the inflation rate inherent in all asset-class returns. If inflation is higher than 3 percent, the total return on asset classes will be higher, and vice versa. [Table 11-4](#) does not include all expected risk premiums for all the varied risks known in the markets. There are many other risks that are unique to individual investments that also deserve a return premium. Some of those risk premiums are used to calculate the long-term market return estimates at the end of this chapter.

TABLE 11-4

Examples of Expected Returns Derived by Layering Risk Premiums

	T-Bills	Intermediate- Term Treasury Notes	Intermediate- Term Corporate Bonds	Large- Cap Stocks	Small- Cap Stocks
Real risk-free rate	0.5	0.5	0.5	0.5	0.5
Term risk premium (intermediate)		1.5	1.5	1.5	1.5
Credit risk premium (intermediate)			1.0	1.0	1.0
Equity risk premium				2.0	2.0
Value stock risk premium					2.0
Small stock risk premium					1.0
Real expected return	0.5	2.0	3.0	5.0	8.0
Inflation	3.0	3.0	3.0	3.0	3.0
Total expected return	3.5	5.0	6.0	8.0	11.0

MODEL 2: ECONOMIC FACTOR FORECASTING